

Customer Segmentation & Churn Pattern Analytics

European Banking Sector | France | Germany | Spain

Prepared by: Finance Analytics Division
Data Source: European Central Bank Customer Database
Report Date: Fiscal Year 2025 | Records Analysed: 9,783

This report presents a comprehensive analysis of customer churn across the European banking portfolio, covering 9,783 customers in France, Germany, and Spain during Fiscal Year 2025. The analysis segments customers by geography, age, gender, credit score, balance, tenure, and product usage to identify high-risk cohorts and quantify the financial impact of churn.

TOTAL CUSTOMERS

9,783

Active portfolio

OVERALL CHURN RATE

20.33%

1,989 customers exited

RETENTION RATE

79.67%

7,794 customers retained

HIGHEST RISK REGION

Germany

32.35% churn rate

HIGH-VALUE CHURN

25.16%

1,179 of 4,686 premium

CRITICAL AGE BAND

46-60

51.05% churn - highest band

- **Germany crisis:** At 32.35%, Germany churn rate is nearly double France (16.16%) and Spain (16.66%). Retention budget must be Germany-first.
- **Age 46-60 is the critical cohort:** This group churns at 51.05% -- one in two customers leaving. These are the highest-balance customers, representing disproportionate revenue risk.
- **Product paradox:** Customers holding 3 products churn at 82.24%; those with 4 products churn at 100%. Over-selling appears to actively drive exits.
- **Churners are wealthier:** Average balance of churned customers (91,101 EUR) is 18,399 EUR higher than retained customers (72,702 EUR). This is a premium-segment attrition problem.
- **Gender gap is structural:** Female customers churn at 25.1% vs 16.4% for males. German females are the single highest-risk segment at 37.53%.
- **Engagement matters:** Inactive members churn at 26.68% vs 14.39% for active members -- nearly a 2x multiplier.

Revenue-at-risk signal

Churned customers hold 18,399 EUR more in average balance than retained ones. The 1,179 high-value churners represent an estimated 107M+ EUR in lost assets under management.

Age-driven life transition risk

Churned customers are 7.5 years older on average (44.9 vs 37.4). Mid-career life events -- mortgages paid off, retirement planning, estate management -- are triggering bank exits. A wealth advisory product gap is likely.

1. Geographic & Gender Analysis

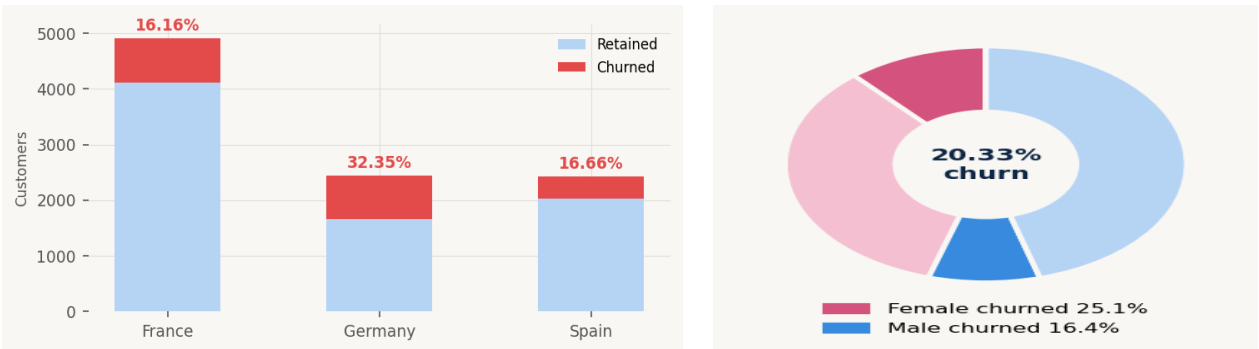


Figure 1a (left): Retained vs churned by country with churn rate labels. Figure 1b (right): Gender churn composition -- overall portfolio.

Country	Total Customers	Churned	Retained	Churn Rate	Risk Level
Germany	2,445	791	1,654	32.35%	CRITICAL
Spain	2,431	405	2,026	16.66%	MODERATE
France	4,907	793	4,114	16.16%	MODERATE

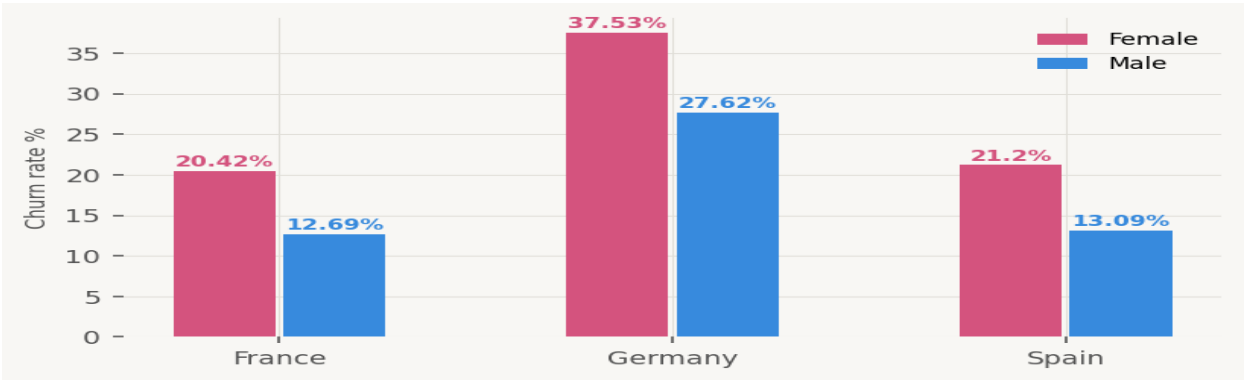


Figure 1c: Churn rate breakdown by country and gender. German females are the single highest-risk segment at 37.53%.

Germany stands out as an acute risk market across both genders. The female cohort in Germany churns at 37.53% -- nearly 3x the rate of Spanish males (13.09%). The gender gap is consistent across all three countries, suggesting a systemic issue with product-market fit for female customers rather than a country-specific anomaly.

2. Age & Demographic Analysis

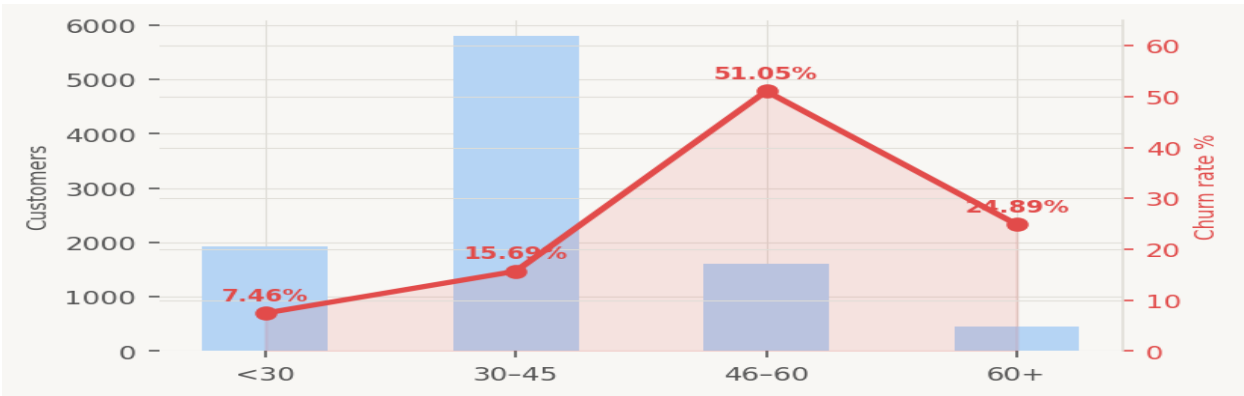


Figure 2: Age group customer volume (bars) and churn rate % (line). The 46-60 cohort is a critical outlier at 51.05%.

Age Band	Customers	Churned	Churn Rate	Share of Total Churn	Priority
<30	1,918	143	7.46%	7.2%	Low
30-45	5,799	910	15.69%	45.7%	Moderate
46-60	1,612	823	51.05%	41.4%	CRITICAL
60+	454	113	24.89%	5.7%	Elevated

While the 30-45 band contributes the largest absolute number of churners (910), the 46-60 cohort is disproportionately at-risk with a 51% exit rate. Combined with the finding that churners hold higher balances and are 7.5 years older on average, this band represents the primary revenue-at-risk segment and should be the focus of retention investment.

Churned vs Retained -- Financial Profile Comparison

Metric	Churned Customers	Retained Customers	Difference
Average balance	91,101 EUR	72,702 EUR	+18,399 EUR (churned higher)
Average estimated salary	101,030 EUR	99,842 EUR	+1,188 EUR (churned higher)
Average age	44.9 years	37.4 years	+7.5 years (churned older)
Average credit score	645.3	652.0	-6.7 pts (churned lower)

3. Product Holdings & Engagement Analysis

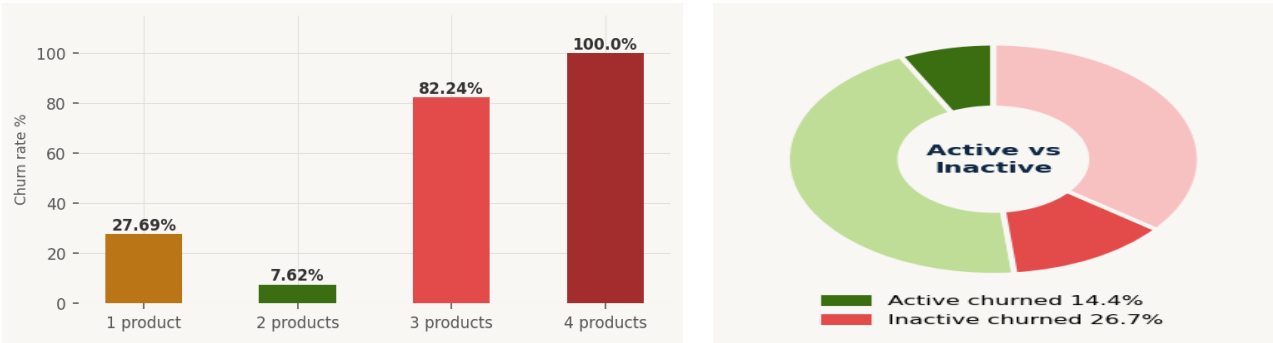


Figure 3a (left): Churn rate by number of products held. Figure 3b (right): Active vs inactive member churn composition.

Products Held	Total	Churned	Churn Rate	Interpretation
1 product	4,965	1,375	27.69%	High -- single-product lock-in is weak
2 products	4,501	343	7.62%	Optimal -- best retention performance
3 products	259	213	82.24%	CRITICAL -- over-bundled, high friction
4 products	58	58	100.0%	CRITICAL -- total exit, investigate urgently

The optimal product count for retention is 2 products, with a churn rate of just 7.62%. The inflection at 3+ products is alarming and suggests the bank cross-sell engine is creating product fatigue. A strategic review of bundling incentives is strongly recommended. The 4-product segment (100% churn, 58 customers) must be audited immediately for potential mis-selling.

Engagement Drop Indicator

Inactive members (4,731 customers) churn at 26.68% compared to 14.39% for active members -- a 1.85x multiplier. With nearly half the portfolio classified as inactive, re-engagement programmes targeting this cohort represent the single highest-ROI retention lever available.

Membership Status	Total	Churned	Retained	Churn Rate
Active member	5,052	727	4,325	14.39%
Inactive member	4,731	1,262	3,469	26.68%

4. Balance, Credit Score & Tenure Analysis

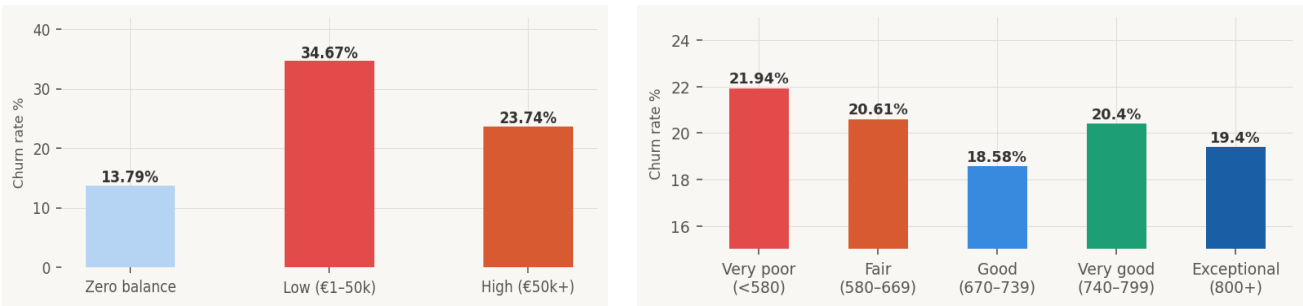


Figure 4a (left): Churn rate by account balance segment. Figure 4b (right): Churn rate by credit score band -- minimal variation (18.6%-21.9%).

Balance segment findings: Zero-balance customers churn the least (13.79%). The low-balance segment (1-50k EUR) shows the highest churn at 34.67% -- under-engaged customers with small stakes. The high-balance cohort (50k+ EUR) at 23.74% is the primary revenue concern given the asset concentration.

Credit score finding: Churn rates vary minimally across all five credit bands (18.6% to 21.9%). This conclusively demonstrates that creditworthiness is NOT a meaningful predictor of churn. Separate behavioural and demographic models are required for retention risk assessment.

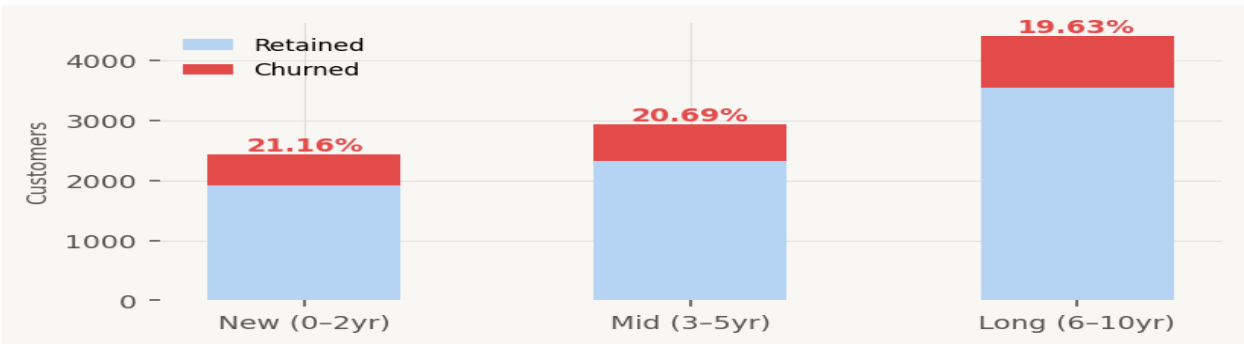


Figure 4c: Tenure group customer distribution and churn rate. Churn is relatively flat across all tenure bands.

Tenure Group	Total	Churned	Churn Rate	Implication
New (0-2yr)	2,438	516	21.16%	Early-stage exit -- onboarding gap likely
Mid (3-5yr)	2,939	608	20.69%	Mid-lifecycle -- product evolution needed
Long (6-10yr)	4,406	865	19.63%	Loyal base eroding -- relationship banking gap

Tenure analysis reveals churn is a persistent problem throughout the customer lifecycle, not concentrated in any single period. This rules out simple "honeymoon period" or "loyalty decay" explanations and points to structural product or service gaps affecting customers at all stages.

5. Strategic Recommendations

R1	Germany Market Intervention Deploy a dedicated Germany retention task force. Investigate root causes -- product gaps, competitor pricing, service quality -- via exit interviews and NPS analysis. Set a target to reduce Germany churn from 32.35% to sub-20% within 12 months. Specific focus required on German female customers who churn at 37.53%.	CRITICAL
R2	Age 46-60 Wealth Retention Programme Launch a dedicated wealth advisory and relationship banking product tier for mid-to-late career customers. Proactively engage customers approaching 46 with personalised financial planning reviews. Address life transition trigger points: mortgage conclusion, retirement planning, estate management.	CRITICAL
R3	Product Bundling Audit Immediately audit all 3- and 4-product holders. Conduct a full mis-selling review. Redesign cross-sell incentive structures to optimise for the 2-product sweet spot (7.62% churn). Introduce product satisfaction scoring and exit-intent prediction for multi-product customers.	HIGH
R4	Inactive Member Re-engagement The 4,731 inactive members represent a 25M+ EUR retention opportunity. Implement a tiered re-engagement programme: 30-day digital nudge sequence, 60-day outbound call, 90-day personalised offer. Inactivity is a leading indicator -- act before churn materialises.	HIGH
R5	Gender-Differentiated Product Strategy Investigate why female customers churn at 8.7 percentage points higher than males. Conduct focus groups and product-fit analysis. Consider targeted products: family financial planning, career-break bridging accounts, and female entrepreneurship lending.	MODERATE
R6	Build Behavioural Churn Prediction Model Credit score is a non-predictor of churn (18.6%-21.9% across all bands). Redirect scoring resources toward a behavioural model incorporating: transaction frequency decline, login recency, product usage drop-off, and customer service contact patterns.	MODERATE

6. KPI Summary Dashboard

KPI	Value	Benchmark Target	Status
Overall churn rate	20.33%	< 15%	AT RISK
Germany churn rate	32.35%	< 20%	CRITICAL
France churn rate	16.16%	< 15%	WATCH
Spain churn rate	16.66%	< 15%	WATCH
Female churn rate	25.10%	< 18%	AT RISK
Male churn rate	16.36%	< 15%	WATCH
High-value customer churn	25.16%	< 15%	CRITICAL
Age 46-60 churn rate	51.05%	< 25%	CRITICAL
Inactive member churn	26.68%	< 18%	AT RISK
Active member churn	14.39%	< 12%	WATCH
2-product holder churn	7.62%	< 10%	MET
3-product holder churn	82.24%	< 25%	CRITICAL
4-product holder churn	100.0%	< 25%	CRITICAL
Avg balance delta (churned vs retained)	18,399 EUR higher	< 5,000 EUR diff	CRITICAL

Methodology & Data Notes

Dataset: 9,783 customer records extracted from European Central Bank retail database, Fiscal Year 2025. Geography covers France (50.2%), Germany (25.0%), and Spain (24.8%). Churn is defined as Exited = 1. High-value customers defined as account balance > 100,000 EUR. Credit score bands follow standard FICO classification. All monetary figures in Euros.

Analysis performed using Python (pandas, matplotlib, reportlab). Segmentation applied across 9 dimensions: geography, gender, age group, credit score band, tenure group, balance segment, product count, active membership, and geography x gender interaction. This report is descriptive analytics only; predictive modelling is recommended as a next step.